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Chapter 8

World Trade Overview



Introduction

The size of markets continues to grow, both locally and globally, therefore, it is vital that businesses produce all required documentation and reports for international trade with minimum disruption and cost. The World Trade application provides facilities for the collection and reporting of the required data in order to reduce administrative costs and improve competitive advantage.

EC Reporting

Intrastat

ESL

The completion of the single market on 1 January 1993 caused a fundamental change in the way businesses trade within the EC. The freedom of movement for goods and services has reduced the administrative burden at national borders. This has been replaced by new reports, to be produced by companies, which must be generated accurately at minimum cost.

The World Trade application allows this data to be collected when orders are processed through other applications, and to be verified and reported at period end.

Export Documentation

For example:

Single Administrative Document

UN aligned invoice

All documents produced are part of the UN aligned series of Export documentation. This standard is based on the UK SITPRO format, used and accepted world-wide. SITPRO is the British trade facilitation body responsible for documentation and procedural standards. It works in conjunction with such bodies as the UN, EC, EFTA and NCITD (the US equivalent of SITPRO).

The export documentation features of World Trade were originally developed for the PC market by SITPRO. The code has been re-engineered for an AS/400 client/server environment and integrated into by International Software Marketing, part of the JBA group.

Internal Company Transfers

World Trade includes the ability to create distribution orders. A distribution order requests the movement of goods between stockrooms in the same company. The order is then progressed through standard Sales Order Processing procedures.

Distribution orders support the inclusion of internal movements of goods on the Intrastat and ESL reports. Additionally, if the Distribution Requirements Planning application is installed, they are included in the calculations for recommending future distribution orders.

Relationship To Other Applications

In the World Trade Module certain processes run in a client/server environment between a PC and AS/400, whilst others can be run from non-programmable terminals (NPTs) attached to an AS/400. World Trade includes:

- PC to AS/400 communications, other than PC Support
- Programs to be called from AS/400 NPTs for EC reporting



Note that the PC software to produce export documentation has to be purchased separately.

As fully standardised functions the EC reporting options operate under the control of System Manager.

The following applications are prerequisite:

- General Ledger
- Inventory Management

With these applications present, it is possible to manually enter EC movements and to produce the ESL and Intrastat reports.

The following applications are required for certain functionality in the World Trade application:

- Sales Order Processing
- Purchase Management
- EDI Application Interface

Information for outward EC reports (i.e. goods moving out of a particular EC state) is gathered using the Sales Order Processing application.

Sales Order Processing is also required to produce documents using the Export Documentation features in the World Trade application.

Similarly, information for inward reports is gathered using the Purchase Management application.

Both Sales Order Processing and Inventory Management are required to support the operation of Distribution Orders.

Implementation Considerations

It is of vital importance to the success of any software implementation that certain issues are considered before detailed steps are undertaken. In the case of World Trade, these issues are:

- Is export documentation to be implemented at the same time as EC reporting? This will determine what hardware configuration is required and whether EC reporting and Export Documentation master file information are created at the same time.
- 'In which countries does the company hold stock?' or, 'Does the company trade over the 'distance selling threshold?'. i.e. does the company sell to non VAT registered persons in other member states, to a cumulative value exceeding a member state's distance selling limit.

This will determine for which countries Intrastat and ESL reports need to be prepared.

Sequence Of Implementation (Data Set Up)

The recommended sequence for data set up in World Trade and associated changes in other applications is:

1 - Create Inventory descriptions. Create the following General Ledger accounts by using the standard General Ledger routines:

- Currency gain and loss accounts
- VAT accruals expense account

2 - Create Customs and Excise rate code, which must be a daily type, if required, and define on the General Ledger company profile

3 - Create the following appropriate VAT codes for:

- Required countries
- Acquisitions

4 - Create the World Trade company profile. Ensure the following flags are set to 1, to fully activate World Trade, when you are ready to go live.



Be careful with the shipment flag; set it to 1 if you do not want to print invoices in Export Documentation

- Use EC VAT calculations
- Collect acquisition data
- Collect disposal data

5 - Create the country codes required. It is recommended that you set up country codes for all EC member states and any other country with which you trade. Remember EC member states must be created with the country code equal to their VAT prefix, regardless of the country for the company. The values are:

BE - Belgium

DE - Germany

DK - Denmark

ES - Spain

FR - France

GB - United Kingdom

EL - Greece

IE - Ireland

IT - Italy

LU - Luxembourg

NL - Netherlands

PT - Portugal

6 - Edit the company profile to set up the default country. This country will be used for all customers, suppliers and stockrooms that do not have a country defined

7 - Plan the entry of World Trade customer supplier, and item details. You need to plan the following:

- Which records to create details for. This will be at least:
 - Any customer or supplier not in the default country
 - Any items traded with these customers or suppliers
- What data to enter. This will depend on the Intrastat reporting requirements in countries to which you are reporting. For example, the Intrastat element Port of Arrival is not required by most EC countries.
- How to use the 'hierarchies' to minimise data entry.

8 - Create customer extensions. If many customers have the same details, use the Customer Mass Maintenance procedure

9 - Create supplier extensions. If many suppliers have the same details, use the Supplier Mass Maintenance procedure

10 - Create stockroom extensions.

11 - Create item extensions. If many items have the same details, use the Item Mass Maintenance procedure

12 - Create item/country and charge code/country VAT details

13 - Create reporting periods for each country to which you will be submitting ESL and/or Intrastat reports

Start Up

1 - Whilst running these start-up procedures, you should not use:

- Despatching or invoicing
- Receiving or purchase order matching
- Distribution Order entry or receipt

This is so that these procedures do not create EC movements as the Catch-up is running

2 - Run the procedure to flag all of the pre-1993 transactions so they will not be included in the World Trade movements extraction. From the World Trade Utilities menu these are:

- Flag invoices as domestic
- Flag invoices as movements created and,
- Flag charges as movements created

3 - If required, run the procedure 'Sales Order Movement Catch-Up', to create EC movement records for any sales movement since the date entered in the 'set invoice movement to created'

4 - If necessary, produce the report 'Verify Sales Order VAT Codes' to establish VAT posting discrepancies.

5 - If required, run the procedure 'Purchase Movement Catch-up', to create EC movement records for historical purchase transactions

6 - If necessary, produce the report 'Verify Purchase VAT Codes' to establish acquisition VAT posting discrepancies

7 - Start processing transactions.

Verification

The creation of your master file data is critical to the successful operation of World Trade.

We strongly recommend that you carry out the following steps to ensure that you have created sufficient master file data.

1 - Check that you have created a customer extension with all relevant data for every EC customer delivery and statement address. Query is a useful tool to help you do this.

You may well wish to write a Query to link the SLP05 file (customer master file) to the WTP05 file (World Trade customer details). The way you determine which customers need extension records will vary. Typically, you may select by customer number or customer group

2 - Check that you have created a supplier extension with all relevant data for every EC supplier despatch and accounting address

You will probably want to write a Query to link the PLP05 file (supplier master file) to the WTP10 file (World Trade supplier details). The way you determine which suppliers need extension records will vary. Typically, you may select by supplier number range or customer group

3 - Check that you have created an item extension with all relevant data for every item you will trade between EC countries

A good way of doing this may be to review your order bank for the customers and suppliers identified in the previous two stages

This would involve a Query linking the WTP25 file (World Trade item details) to, say, OEP55 (order details) and OEP40 (order header) for sales, and linking WTP25 to PMP03 (order details) and PMP02 (order header) for purchases



In the first few days of running the system, it is strongly recommended that you use a combination of the following controls to ensure that the interfaces are collecting data in the way you expect.

4 - Use the Movement Maintenance option as an enquiry to check the movements created for particular orders

5 - Use the Movement Report to check that both the expected movements are present and they contain all the appropriate data

6 - Run test Intrastat and ESL reports

7 - Check, using Query, that a WTP90 record has been created for each movement initiated by an order (Sales or Purchase) that involves the transfer of goods across an 'internal EC border'.

For sales you may want to link WTP90 to OEP70 (invoice details) and OEP65 (invoice header). For purchases, you may want to link WTP90 to PMP09 (goods in details)



Remember, the creation of your master file data is critical to the successful operation of World Trade.

UK Data Set Up

This section identifies the values that should be entered in certain fields during the set-up for a 'typical' UK company. As you enter the data, ensure that no assumptions are being made that do not apply to your company.

The assumptions about a 'typical' UK company are:

- The company trades with customers and suppliers in many EC member states
- The company has stockrooms only in the UK
- The company is not a 'distance seller'

General Data Set Up

Create:

- Inventory descriptions,
- General Ledger Accounts,
- Customs and Excise rate codes and VAT codes,

Company Profile

1 - Create the World Trade company profile. Ensure the following flags are set to **1** to fully activate World Trade:

- Use EC VAT calculations
- Collect acquisition data
- Collect disposal data

2 - Do not enter default ports of arrival or despatch. Ports are not a data element collected on a UK Intrastat

3 - Enter default country 'GB' (This will be done as a maintenance after the country codes have been set up)

4 - Enter the tax point date

Countries



We recommend that you set up all the countries in the EC in addition to any other countries with which you trade. The correct country codes are:

BE - Belgium
DE - Germany
DK - Denmark
ES - Spain
FR - France
GB - United Kingdom
EL - Greece
IE - Ireland
IT - Italy
LU - Luxembourg
NL - Netherlands
PT - Portugal
FI - Finland
SE - Sweden
AT - Austria

Configure EC Reporting for the United Kingdom. Only select GB for EC reporting in Country File Maintenance. On the Intrastat mask screen only select the country of origin field to be reported. Set the acquisition letter to A and the disposal letter to D, as these are the letters used by UK Customs and Excise to distinguish these types of movement.

Set the Intrastat/ESL print code to 'GB' for the United Kingdom. This will ensure the Intrastat report is produced in the special UK format. Before you can do this you will have to set up 'GB' against the Major Type LPRT in Inventory Description Code Maintenance.

You will need to take the country code option, in Country Code Maintenance, for country 'GB', and for the Intrastat set Belgium to 'BL' and Luxembourg to 'BL'. This is because Belgium and Luxembourg are considered to be one country for Intrastat reporting purposes. Additionally, for the Intrastat set Greece to 'GR'.

Customers

Only set up the following fields.

- Country
- VAT registration
- Terms of Delivery

Suppliers

Only set up the following fields:

- Country
- Terms of Delivery

Stockrooms

As stated in the assumptions, all stockrooms are in the UK, therefore it is only necessary to enter stockroom information if you intend to use the distribution orders function. If you do enter information here, then it is only necessary to enter the following fields:

- Country
- Internal Customer

Items

It is only necessary to enter the following information.

- Commodity code (the first eight digits are required for Intrastat reporting; the other digits are used in export documentation)
- Commodity type:
 - 1 - Standard Item
 - 2 - Process Element
 - 3 - Repair Element
 - 4 - Ancillary Service
 - 5 - Service
 - 6 - Charge
- Conversion factor for selling units to net mass
- 2nd quantity information, if required
- You will not need to enter item/country VAT codes or charge code/country VAT codes

Periods

Only create calendars for country GB, as only UK Intrastat and ESL are available at present.



Note: The start up and verification sections should now be implemented.

Application Configuration

As with all applications, World Trade can be operated for a number of companies. The application is controlled by the company profile and the country file. The Purchase Management, Inventory Management and Sales Order Processing applications all use the same company codes for interfacing companies. World Trade will also use the same company code to interface to these applications.

The set up of master file data is vital to the successful operation of World Trade.

The interface programs between Purchase Management, Sales Order Processing and World Trade will use the master file data to create transaction records in World Trade. There is less to do at reporting time if master file data has been created for all customers, suppliers and items used for EC movements.

In general, the interface programs take data from a hierarchy. The hierarchy creates movement data from order overrides, customer, supplier and item details, and the company profile. The hierarchy can be used to reduce the data keying required. This process is fully explained in the Interfaces section.

Certain data and policies may be set up as defaults at the company level. For example:

- Whether to calculate VAT according to 'standard' rules or 'post 1/1/93 EC' rules.
- Default 'terms of delivery' for the Intrastat report.

As an application concerned with trading between different countries, it is vital that any countries to be traded in/with are defined. Additionally the country file is used to define detailed information about a country. For example:

- Information for this company specific to a country (i.e. company within a country) such as VAT registration number.
- Whether a country is in the EC and if so, what its EC reporting requirements are.
- Language and address format information.

Set out later in this section is the following data:

- A list of the necessary additions required to be made to the Inventory Descriptions file.
- The Master file data that should be gathered and the sequence in which it should be entered
- A reduced set up that is sufficient for a 'typical' UK company.

Application Reference Data

Most of the basic data required is already set up as part of the base data for the prerequisite applications. There is, however, the ability to enter information to identify movements of goods between two separate countries and to define defaults for the Intrastat report.

Customers

Each customer address (statement, invoice and delivery) can be defined to be in a particular country. Default information for EC reporting such as 'terms of delivery' may be defined. Also, it is possible to define defaults for the export documentation part of World Trade such as the 'forwarder' address.

This information can be entered as part of the standard customer maintenance procedures or by the customer mass maintenance procedure.

Suppliers

Each supplier address (accounting and despatch) can be defined to be in a particular country. Default information for EC reporting such as 'terms of delivery' may be defined.

This information can be entered as part of the standard supplier maintenance procedures, or by the supplier mass maintenance procedure.

Stockrooms

Each stockroom can be defined as being in a particular country. The internal customer for each stockroom can also be defined.

Items

Default information for EC reporting and export documentation may be defined. For example 'country of origin' and 'packing instructions'.

This information may be entered through two World Trade menu options. The first allows the information to be input for a single item, whilst the second allows standard information to be created for ranges of items specified by a common criteria.

Export Documentation Master Information

It is possible to create default information for the export documentation required, relating to customers, items or directly to an export shipment.

Processing

World Trade takes base data from the Sales Order Processing and Purchase Management applications and provides the facilities to add extra data to be used in the EC reporting and export documentation process.

The diagrams 'Processing Outward World Trade Movements', 'Processing Inward World Trade Movements' and 'Processing Transfer World Trade Movements' illustrate the information flows into and within World Trade.

Order Overrides

A separate menu option within World Trade, allows default supplier, customer, and item information to be overridden if necessary. This provides minimum disruption to the standard order taking cycle.

Extract Data for Intra EC Movements

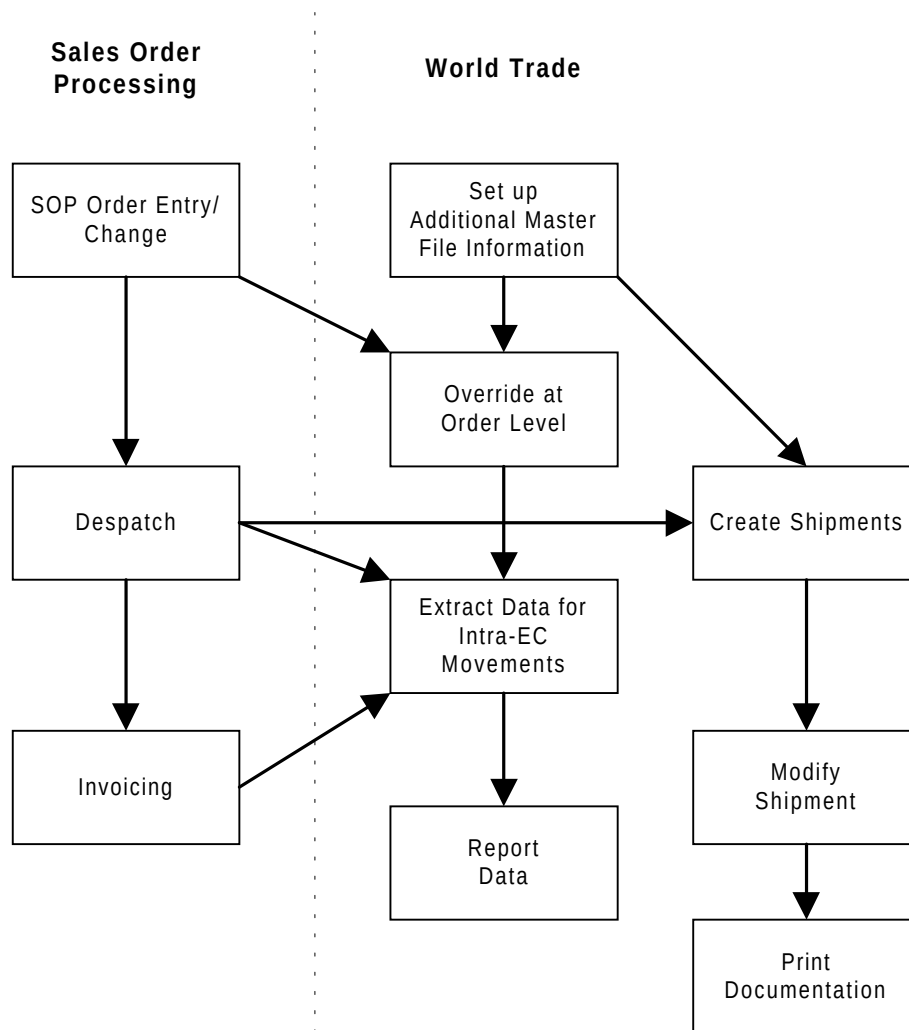
World Trade will identify EC movements by comparing 'To' and 'From' Countries for each order line. Information required for EC reporting will be extracted, as it becomes available, from the following processing points:

- Goods Inward
- Purchase Management Invoice Matching
- Despatch
- Sales Order Processing
- Confirmation of Shipment for Distribution Orders.

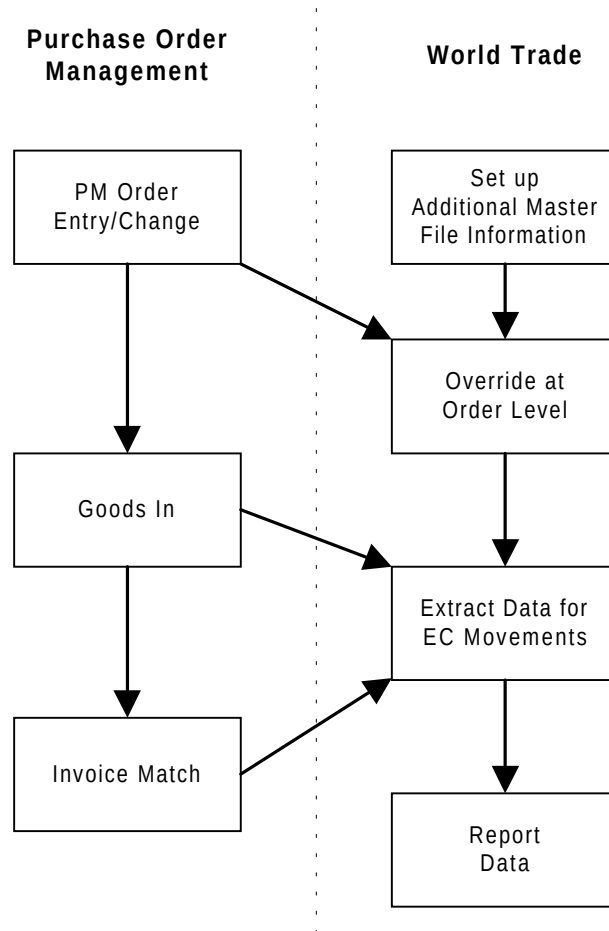
It is put into an EC Movements File for reporting. The reporting process is described in the EC Reporting section.

Data relating to transactions which occur in periods prior to the installation of World Trade can be extracted by running the World Trade Catch-Up options at installation time.

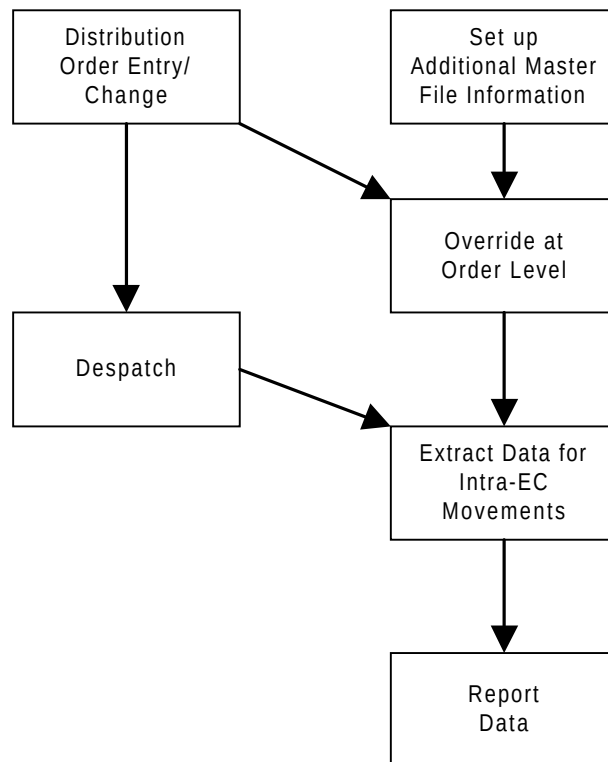
Processing Outward World Trade Movements



Processing Inward World Trade Movements



Processing Transfer World Trade Movements

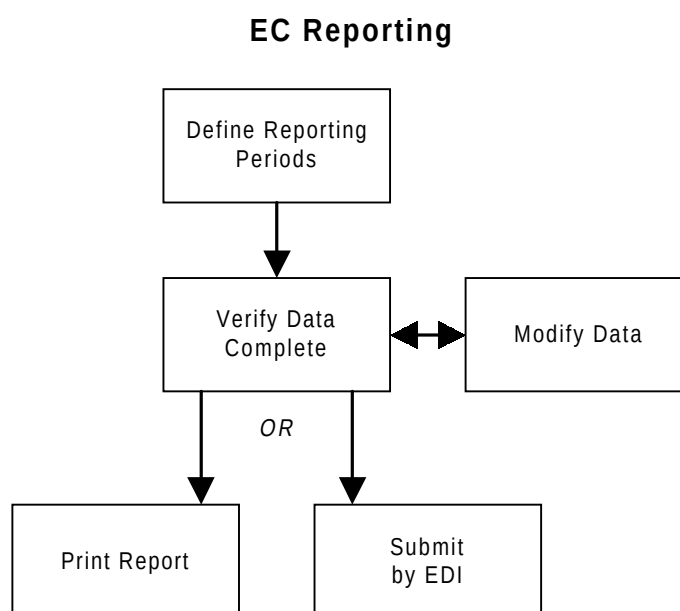


Create/Modify Shipments

Export despatches requiring export documentation have 'shipment records' created automatically by the Export Documentation Interface.

EC Reporting

The production of the Intrastat and ESL reports is controlled through a reporting cycle illustrated in the diagram 'EC Reporting':



Define Reporting Periods

Reporting period definition allows the selection of the EC movements to be included on a report. This is done by entering a date range.

Verify Data Complete

Validation of data for a particular reporting period checks that all data required is complete and valid. A further option allows failed data to be viewed and amended.

The facility to modify EC movements can also be directly called from a menu, to modify any movement instead of just those that have failed validation.

Print Report/Submit by EDI

Validated data can be reported either via a printer or by using the EDI Application Interface application.

Export Documentation

As the despatch of sales orders is confirmed, the transaction is tested to see if a shipment needs to be created. This test is established by means of the company set-up within the system. If a shipment is required then export shipments are automatically created in World Trade. A shipment is structured as a header and different types of shipment items.

SHIPMENT HEADER Consists of all shipment information which is consistent, irrespective of what type of items it applies to. The types of fields applicable are names and addresses, declarations, terms, company and customs references, dates and routing information.	INVOICE ITEMS The order product items applicable to this shipment.
	PACKING ITEMS Appear on the Export Packing List. They describe the case/pallets/cartons/which the invoice items are packed in.
	CUSTOMS ITEMS Appear on the Customs Documents. They describe in detail the commodities being exported and are listed in Tariff number order.
	HAZARDOUS ITEMS Appear on the DGN or IATA DGN and describe, in detail, the hazardous goods being exported. They are listed in hazardous classification order.

Sales Order Processing creates header and invoice line information. The customer and inventory item defaults provide the detail of the packing, customs and hazardous lines.

The shipment can then be edited by using information from the Export Documentation master files, and by entering new data, if needed.

Once a shipment is complete, the required documents can be printed individually or by using a pre-defined print run for a combination of documents.



Note: In World Trade Export Documentation the term 'item' refers to an invoice item (known as an invoice line in Sales Order Processing), a packing item, a customs item, or a hazardous item. It must not be confused with an Inventory Item.

A Product refers to an Inventory Item.

VAT Code Determination

Part of the World Trade application is the VAT code determination routines that are used throughout the system, instead of the standard routines supplied in the base applications. These routines are based on identifying in which country tax is applicable, and then applying the rules of that country.

These routines are used by the following processes:

- Sales Order Processing Invoice Printing
- World Trade Invoice Printing
- Purchase Management Invoice Matching
- World Trade Tax Posting

The first three processes will only use the VAT code determination routines if 'Use EC VAT calculations' is set to 1 on the World Trade company profile.

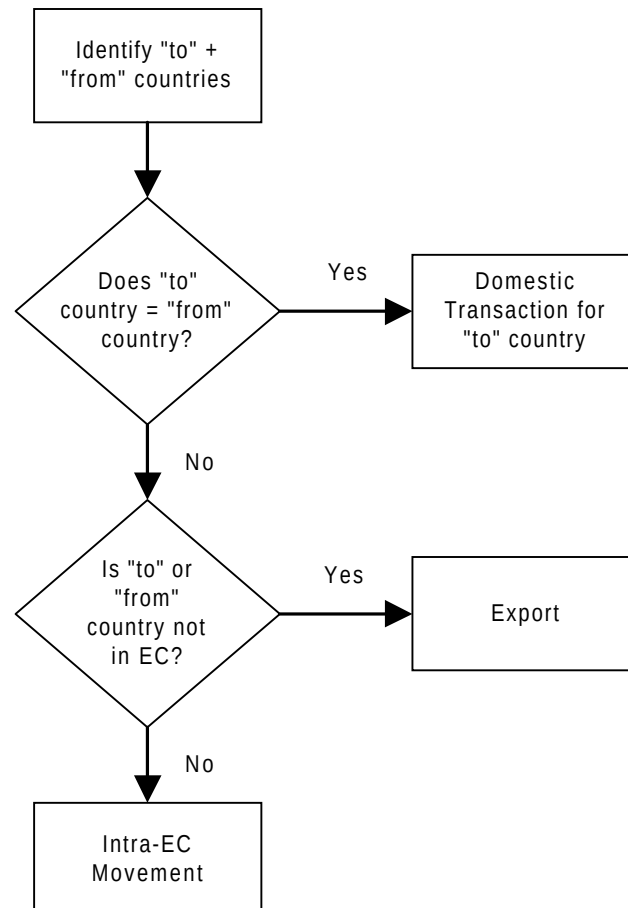
Item/Country VAT codes

An individual item will have different VAT treatment in different countries. For example, although an item may be standard rated in both the UK and Germany, the standard VAT rate is currently 17.5% in the UK but 15% in Germany. Therefore, if a company has a UK stockroom and a German stockroom, and makes domestic sales from both, it must maintain two separate VAT codes for an item supplied from both stockrooms.

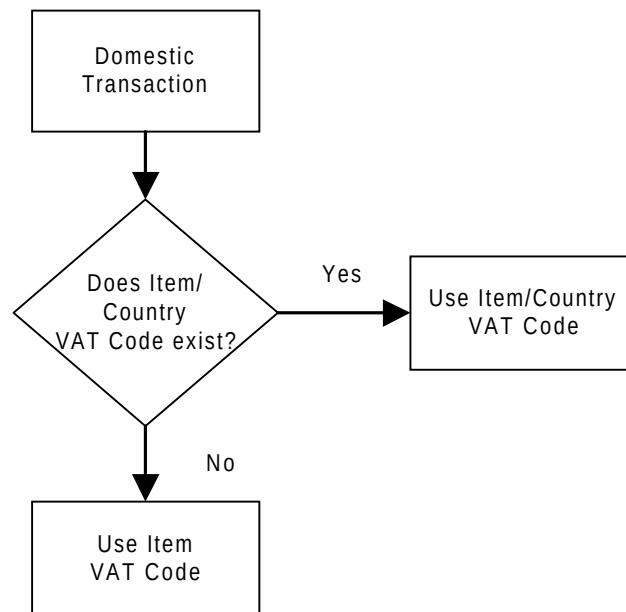
In World Trade, there is the facility to enter a VAT code for each item/country combination. The entry of this information is discussed in the Maintenance section. If no VAT code is entered for a particular item/country pairing, then the standard VAT code entered on the Inventory Item master will be used.

Supply VAT Codes

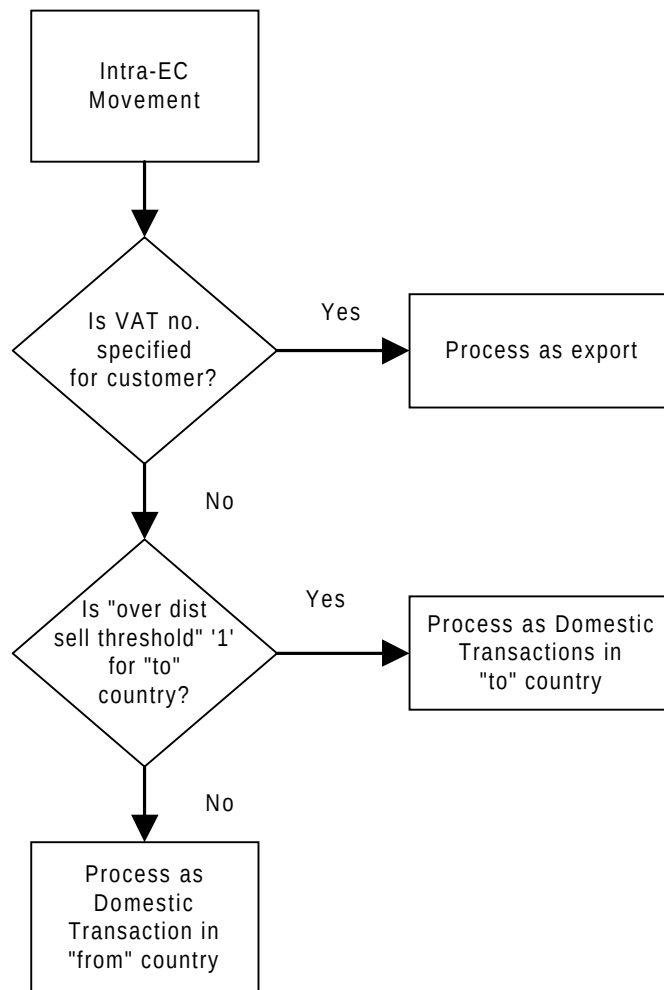
The diagram 'Supply VAT Codes' documents the determination of VAT codes for supplies.



Domestic Transaction VAT Code

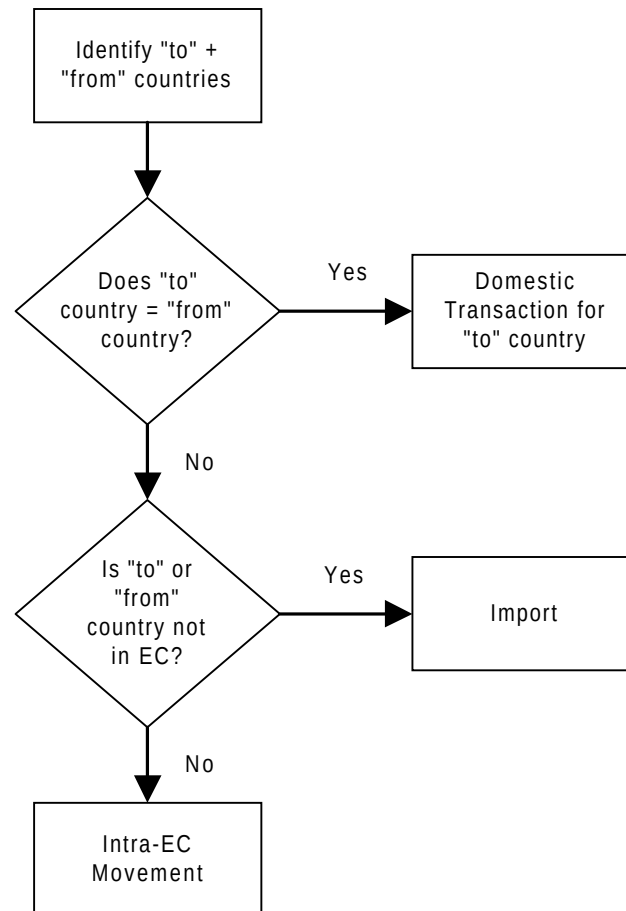


Intra EC Movement VAT Code

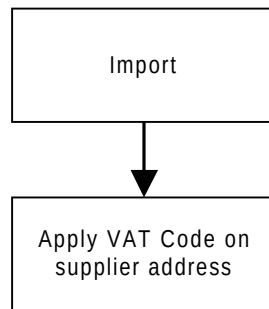


Input/Acquisition VAT Codes

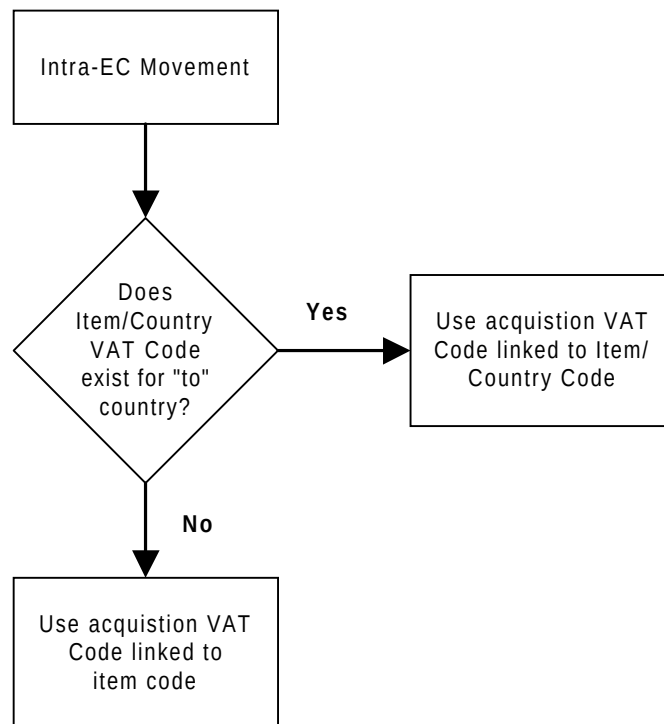
The diagram 'Input/Acquisition VAT Codes' documents the determination of VAT codes for inputs and acquisitions.



Import VAT Codes



Intra EC Movement VAT Codes



Interfaces

The World Trade application is concerned with the movement of goods outside national boundaries. The primary objective is to provide a database which can be used for the production of statistics such as the EC Intrastat and ESL reports, and UN aligned documentation for the shipment of goods.

The information concerning commercial transactions is held in the standard application. Processes review each transaction as it occurs and, depending upon the requirements of the company, create a movement within World Trade. These processes are the interfaces between World Trade and the rest of the integrated business system.

This section describes how the interfaces determine which transactions are recorded and how the data is gathered.

Reportable Movement File

In the World Trade application, the Reportable Movement File is used to hold information for each movement for:

- Reporting on an ESL
- Reporting on an Intrastat
- Determining VAT postings required for EC movements

The interfaces create and maintain one record in the Reportable Movement File for each intra EC movement of goods.

Movement Of Goods

Triggers in Purchase Management, Sales Ordering Processing, and Distribution Orders (from within World Trade or Distribution Requirements Planning) call programs in World Trade whenever a movement of goods occurs. Each of these programs has two processing phases:

- Determine if an intra EC movement of goods has occurred by comparing the 'to' and 'from' countries.
- Use the default and override information to determine the information to be written on the Reportable Movement Record.

Invoice Processing

Further triggers in the Sales Order Processing invoicing and Purchase Management invoice matching procedures call other programs in World Trade. These programs again have two processing phases:

- Determine if a reportable movement exists for a particular invoice line.
- Update the Reportable Movement Record with value and tax point information.

There are additional interfaces to create shipments for export documentation purposes. The shipment details field on the company profile defines for which despatches shipments are created. Each shipment corresponds to a single despatch from Sales Order Processing. These shipments can be combined at a later point in the processing cycle.



Note: If shipments will be created for a particular customer, then invoice consolidation must be switched off for that customer in the Sales Order Processing application because consolidation occurs in export documentation.

Determining If A Movement Record Will Be Written

The interface will write a Reportable Movement Record if:

The 'to' and 'from' countries are different EC countries.

AND

The commodity type on the World Trade item extension is 1, 2, 4 or 6.

The 'from' and 'to' countries are determined using the following hierarchy:

Order overrides country

Delivery/despatch country

Customer/supplier/stockroom country

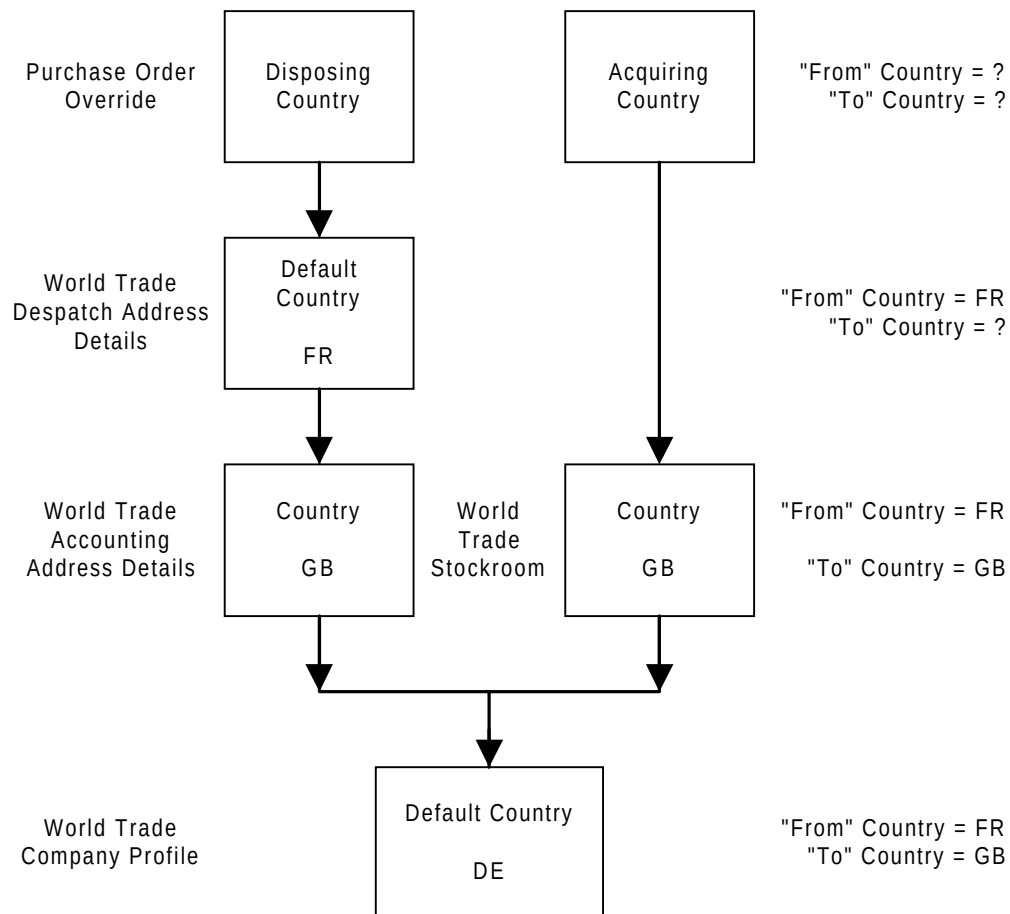
World Trade company profile default country.

The Order Overrides country is discussed in the Order Overrides section.

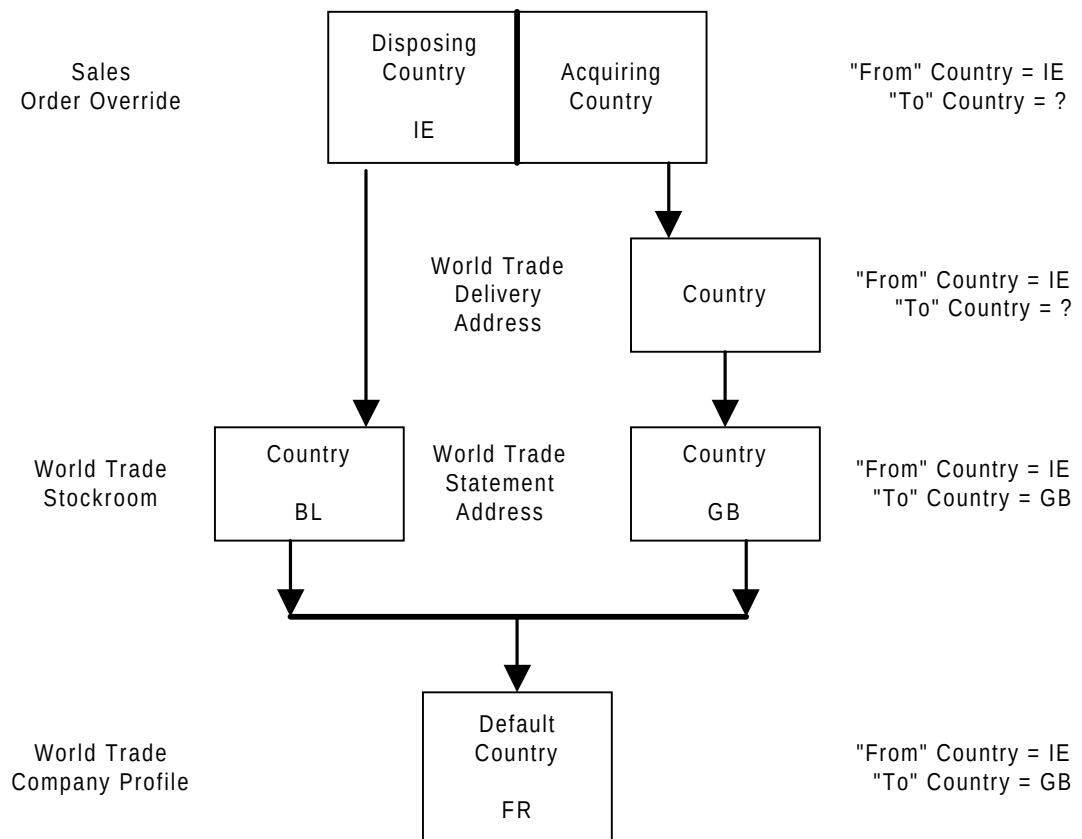
The Commodity Type defines if the sale of an 'item' is associated with a movement of goods.

- Types 3, 4, 5 are services and therefore are not reported on the ESL or Intrastat.
- A reportable movement record is still written for type 4, ancillary services, because these must be processed for VAT accruals.
- A reportable movement record is written for type 6, but the item does not appear on either report as its value is apportioned across invoice lines.
- On the ESL the effect of the change is incorporated into the overall figure.
- On the Intrastat report, a charge (either commodity type 6 or overall charge code) is apportioned across all invoice lines.

Purchase Order Country Determination



Sales Order Country Determination



Setting Up The Movement Record

The data that is written to a reportable movement record defines what will be later reported on the ESL and Intrastat reports. It is determined, for each field, by using the highest occurrence of data in the following hierarchy:

Order overrides

Delivery/despatch address

Customer/supplier/item

World Trade company profile

For each movement record, a nature of transaction is specified. The nature of transaction is an element on the Intrastat report which defines whether the movement is a sale, return, lease etc. It is assigned either through the hierarchy, or automatically by the system. The system determines the nature of transaction by examining the combination of commodity type and type of transaction. The nature of transaction influences the form in which the record will be presented on the Intrastat reports.

The examples 'Nature Of Transaction Specified Example' and 'Example 2 Standard Purchase' illustrate this principle for purchases. A similar set of diagrams applies for sales.



Note: The illustrations refer to subsets of the relevant records within the hierarchy. These subsets show only the fields that determine the movement record.

Nature Of Transaction Specified Example

Taking each element in turn:

Terms Of Delivery

This is specified as 'CIF' on the company profile and is not overridden at any level, so is set to 'CIF' on the reportable movement record.

Despatch Country

This is specified as 'ES' on the customer extension and is not overridden at any level, so is set to 'ES' on the reportable movement record.

Port Arrival

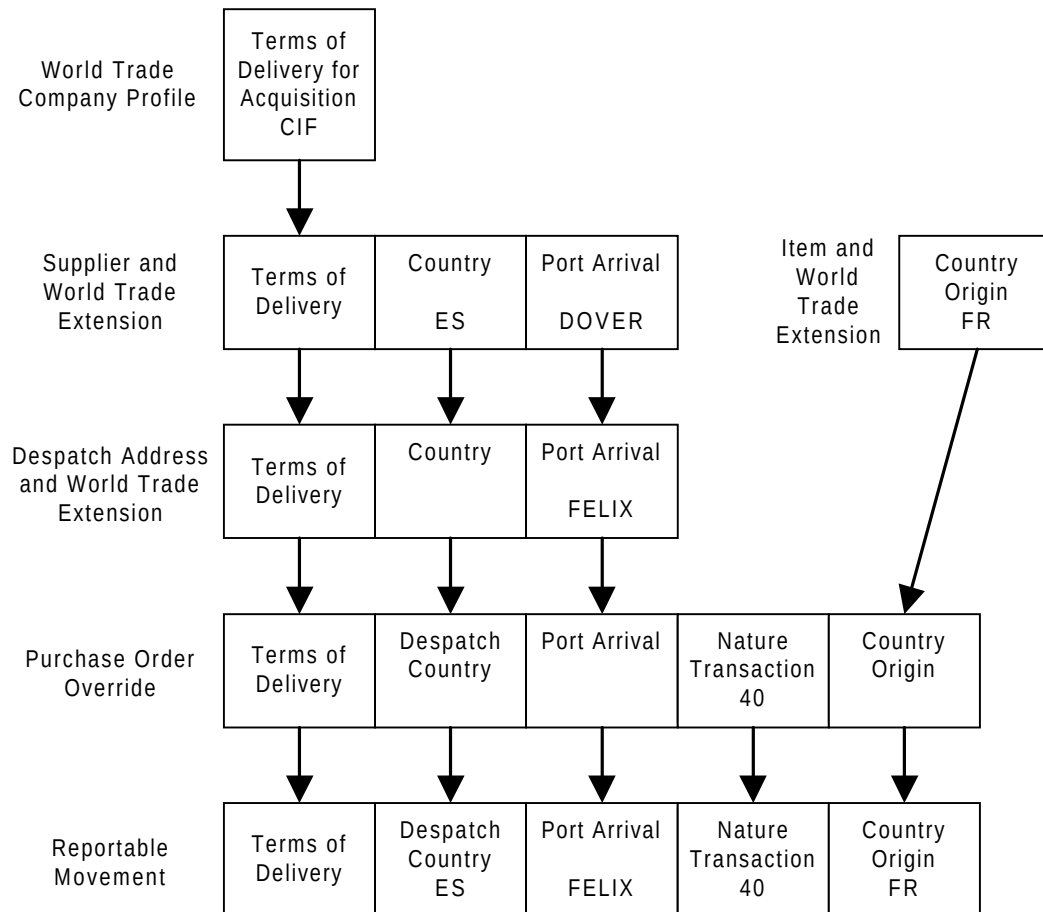
This is specified as 'DOVER' on the customer extension. This is overridden to 'FELIX' at the despatch address level which is, therefore, also written to the reportable movement record.

Nature Of Transaction

Nature of Transaction is set to '40' on the order override, so is set to '40' on the reportable movement record.

Country Origin

This is specified as 'FR' on the item extension and is not overridden, so is set to 'FR' on the reportable movement record.



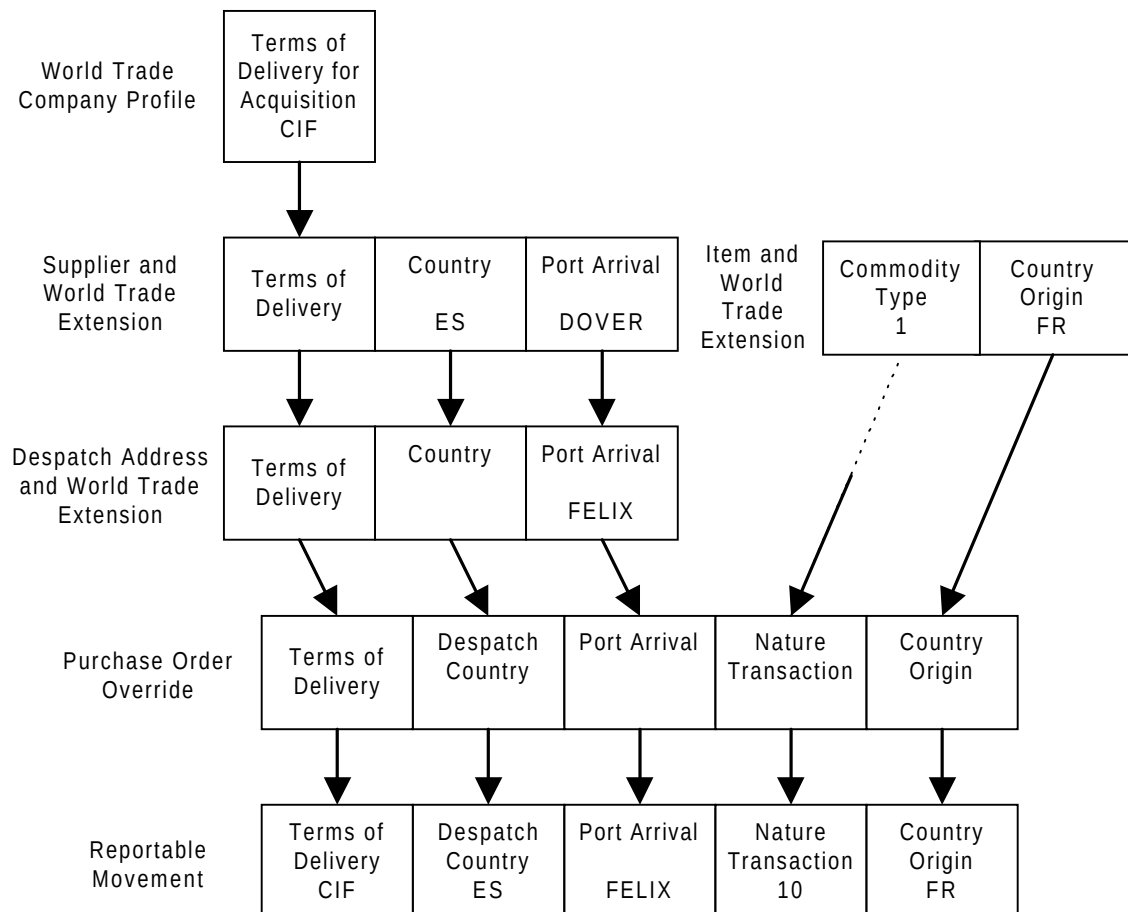
In the case of a purchase, the movement is recorded as an acquisition. The initial record is created once purchased goods are received. The record is updated at the point of Invoice Matching.

In the case of a sale, the Customer and World Trade Extension, Delivery Address and World Trade Extension, and the Sales Order Override would replace the data sources used for a purchase.

The movement created is recorded as a disposal. The movement is created at one of two points. The first is if the print invoice option is selected from within Sales Order Processing. The second is if the VAT period is being closed and an invoice print is not planned. In this case the movement can be created by taking the option 'Create disposal movements' from the World Trade Processing menu.

Example 2 Standard Purchase

Where the system needs to derive the nature of transaction, a normal purchase of an item with commodity type 1, results in a nature of transaction as illustrated in the Standard Purchase diagram.



Distribution Orders

For distribution orders, two reportable movements are generated corresponding to the two sides of the transaction. Both have a nature of transaction of 10.

The first generated is the disposal record which arises from the Confirmation of Despatch within Sales Order Processing.

The other record, the acquisition record, is generated from the Confirmation of Shipment from either Distribution Requirements Planning or the World Trade, Distribution Orders menu.

Since no invoice is generated for distribution orders the acquisition record is complete at this point.

Credits And Returns

For credits there are potentially two reportable movements generated:

- One, with nature of transaction 20, represents the physical return of goods.
- A second, with nature of transaction 16, represents the credit of monies.



Note, that for a sales credit, the return movement will be an acquisition; the credit movement will be a disposal. For a purchase return, the return movement will be a disposal; the credit movement will be an acquisition.



Note, both movements will not always be included on the Intrastat report. If the 'From' country has 'UK nature of transaction' (Ref: Country Maintenance) set to 1, then the movement with nature of transaction 16 will not be reported on the Intrastat report, whereas the movement with nature of transaction 20 will be. Where the 'From' country has 'UK nature of transaction' set to 0 both sides are included on the Intrastat report.



Note: In the case of a sales credit, the disposal side, nature of transaction 16, will be reported on the ESL, but the acquisition movement, nature of transaction 20, is not.

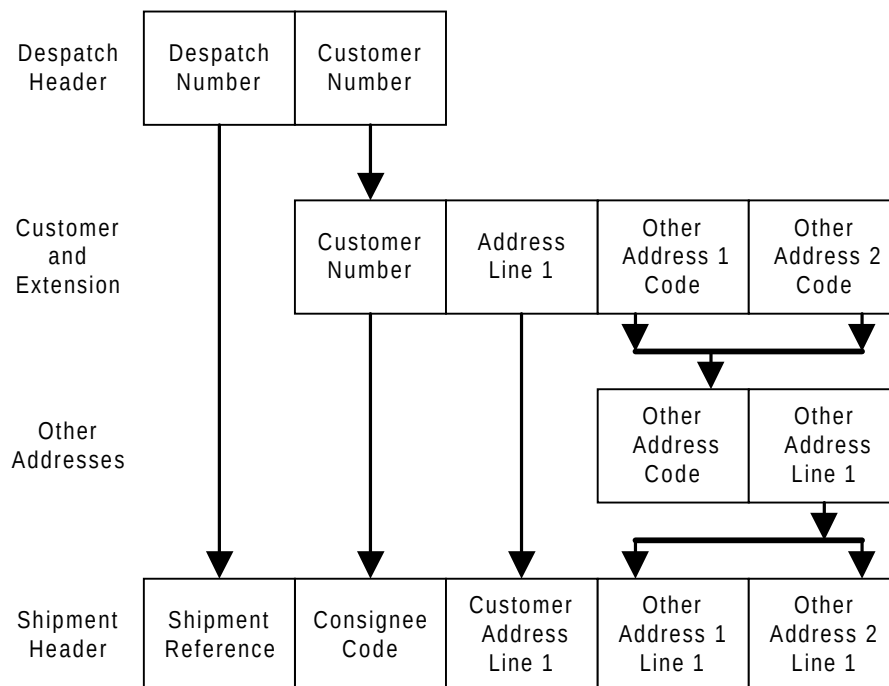
Process

Where the system needs to derive the nature of transaction, and the movement relates to a process, i.e. commodity type 2, a nature of transaction 58 is generated. If the process element is an acquisition movement, and the 'UK nature of transaction' is set to 1 for the 'To' country, or correspondingly, if the process element is a disposal movement, and the 'UK nature of transaction' is set to 1 for the 'From' country, a movement record will be written and reported on the Intrastat. However, if 'UK nature of transaction' is set to 0 in the above instances, no reportable movement is written.

Shipment Generation

One shipment is created for each Sales Order Processing despatch that meets the conditions specified by the shipment detail field on the company profile (Ref: Country Maintenance).

For each shipment a header will be created and one invoice item for each line on the despatch note. Details will be gathered from other master files to build all the shipment information as shown in the diagrams 'Shipment Generation' and 'Invoice Item Creation'.



Invoice Item Creation

